Dedollarisation in Asia Will Build From the Bottom Up

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Summary. The US dollar still dominates Asian trade and finance. Yet a shift in its international role has already begun at the base of the system. In this note, bottom-up describes the order of that change, not who drives it. Payments and local currency settlement are moving first, and central banks are largely leading them. Trade invoicing will follow, but slowly. Reserves and funding will move last. Over the next 10 to 15 years, this sequence points to deeper local currency markets and a larger regional role for currencies in active settlement corridors. It does not, however, point to the end of the dollar.

The dollar is losing share, not power

The dollar is slowly losing ground as a reserve currency, but it remains firmly in charge. Its share of global foreign exchange reserves fell from 71% in 1999 to 56.7% in the second quarter of 2026 (Figure 1).[1] The euro, however, has gained little from this decline. Instead, most of the lost share has gone to smaller currencies such as the Australian and Canadian dollars. The renminbi took about a quarter of the shift by 2021, but its share has since slipped back to around 2%. In markets, meanwhile, the dollar's grip has tightened rather than loosened. It was on one side of 89% of all foreign exchange trades in April 2025, up from 88% in 2022. What the reserve decline means is still debated. One view sees active diversification by many reserve managers. Another finds that a small group of large holders explains most of it. Either way, the shift has taken a quarter of a century, and no single currency is yet ready to take the dollar's place.

Figure 1. Currency shares of global FX reserves, 1999–2025

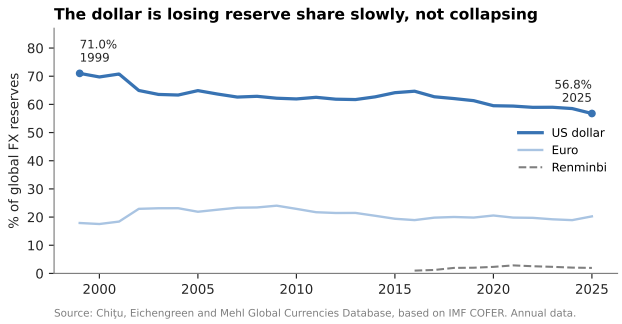
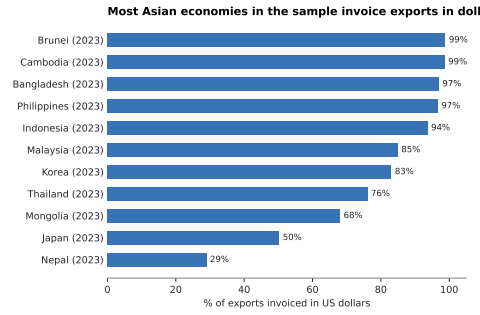


Figure 2. Dollar share of export invoicing, Asia



Trade still runs on dollars, but the edges are moving

Asian trade is even more tied to the dollar than global reserves are. Among the economies in the latest IMF data, Indonesia and the Philippines invoice more than 90% of their exports in dollars (Figure 2). Malaysia and Thailand follow at 85% and 76%. Only two economies stand apart. Japan invoices around half of its exports in dollars, while Nepal, whose currency is pegged to the Indian rupee, invoices less than a third. These figures come with one caveat. The data has no recent figures for China, India, Singapore or Vietnam, so the chart reflects the region's smaller economies. Two forces explain the overall pattern. The first is commodities. Oil, gas and coal are priced in dollars worldwide, which lifts the shares of exporters like Brunei and Indonesia. The second is supply chains. Many Asian goods are finally sold in the United States, so the dollar is used at every stage along the way.

Even so, there are early signs of change at the edges, and policy drives most of them. China is the clearest case. It now settles around half of its exports in renminbi. Yet IMF estimates imply that only about 6.5% of those exports are actually invoiced in renminbi. In other words, settlement is moving far faster than pricing. Southeast Asia is following a similar path. Local currency frameworks already link Malaysia, Indonesia and Thailand, and Indonesia and Singapore launched one in August 2026. Under these frameworks, appointed banks quote direct exchange rates between the currencies, so trades can skip the dollar conversion. The early results are encouraging. Evidence from Thai exporters shows these frameworks have moderately reduced reliance on the dollar. Across the global sample, however, invoicing shares have barely moved. The lesson is that local currency use grows where policy builds the plumbing for it, but it grows slowly.

Payments are where Asia leads

Payments are where this policy push has gone furthest. Here, Asia leads the world in directly linking separate national payment systems. Several ASEAN QR systems are now connected, including Malaysia's DuitNow,

[1] The 1999 figure is from the Global Currencies Database. The 2026 figure is from the IMF's revised COFER series.

Indonesia's QRIS, Thailand's PromptPay and Singapore's PayNow. Their use is growing fast. Cross-border QR payments rose from about 5.2 million transactions in 2024 to 36.2 million in 2025, worth US$716.4 million (Figure 4). The lead also shows in wider data. By 2024, around 25 country pairs worldwide had direct bilateral fast payment links involving an Asia-Pacific economy, against about 5 elsewhere (Figure 3). This comparison needs care, however. The euro area shares one currency and regional platforms, so it needs few bilateral links. A link that exists is also not the same as a link that carries volume. Most importantly, paying in local currency at both ends does not guarantee a dollar-free transaction. Banks may still convert through the dollar where direct markets are thin, and even the renminbi trades almost entirely against the dollar. That is why the direct quotes required under the local currency frameworks matter. They are what allow cross-border transactions to avoid the dollar entirely. Project Nexus is the next step. It will connect national instant payment systems through a single hub, with first live transactions expected in 2027.

Figure 3. Bilateral fast payment links, 2018–2024

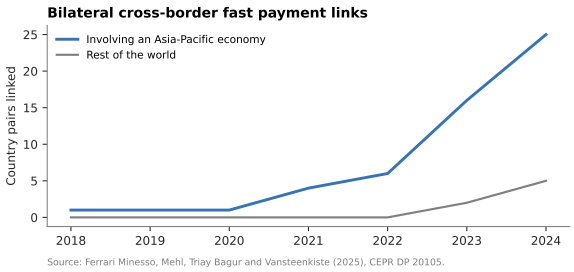
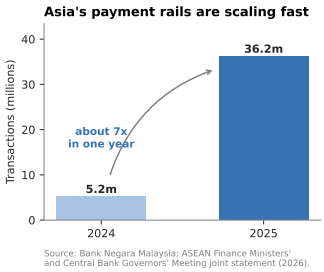


Figure 4. ASEAN cross-border QR payments



What holds the dollar in place

Still, faster payment rails alone will not displace the dollar. The US$716 million in cross-border QR payments in 2025 is a tiny fraction of the region's trade, which runs into the trillions of dollars each year. Four anchors keep the dollar central. The first is debt. Many Asian firms carry dollar debts, so they prefer to earn in dollars to match. Globally, dollar credit to borrowers outside the United States reached US$13.7 trillion in early 2025. The second is hedging, as local currency hedging markets remain thin and costly outside the largest economies. The third is demand, since final demand for many Asian goods still sits in the United States. The fourth, and most important, is safety. US Treasury markets offer reserve managers a depth and safety that no Asian market can yet match. Together, these anchors explain the order of the shift. Payments can move first since they need no change in debt, demand or reserve assets. Reserves, by contrast, depend on all four anchors, so they will move last. Central bank gold buying is the main challenge to this view. Central banks bought more than 1,000 tonnes a year from 2022 to 2024 and 863 tonnes in 2025, partly in response to sanctions risk. Yet gold moves reserves away from all currencies, not toward Asian ones. It weakens the dollar's share without lifting the region's currencies.

Market implications and what would change this view

If this view is right, the effects on markets will build slowly. Local currency bond markets should deepen as more trade and investment settles within the region, provided domestic investors and hedging markets grow alongside. In turn, currencies in active settlement corridors, such as the ringgit, baht and rupiah, should trade more directly against each other. Lower exposure to global dollar funding conditions will take longer. That depends on progress in funding markets, not payments. Three developments would show the shift gathering pace. The first is Project Nexus going live on schedule in 2027. The second is rising settlement volumes under the local currency frameworks. The third is China's settlement shift appearing in invoicing data. Equally, two developments would change this view. The first is dollar stablecoins taking a large share of Asian cross-border payments. The IMF warns they can drive currency substitution, which would spread the dollar through the very layer this note expects to move first. The second is invoicing shares staying flat even as payment links multiply. That would show the payments layer is not feeding through to pricing.

Sources. IMF, COFER Data Brief (30 September 2026). Chiţu, Eichengreen and Mehl Global Currencies Database (accessed November 2026). Arslanalp, Eichengreen and Simpson-Bell (2022), IMF WP/22/58. Goldberg and Hannaoui (2024), FRBNY Staff Report 1087. BIS, Triennial Central Bank Survey (September 2025). Boz, Brüggen, Casas, Georgiadis, Gopinath and Mehl (2025), IMF WP/25/178. Chaeng-lum, Nookhwun and Pattararangrong, PIER Discussion Paper 250. Bank Indonesia and MAS (31 August 2026). AMRO, regional payment connectivity across ASEAN+3. Joint Statement of the 13th ASEAN Finance Ministers' and Central Bank Governors' Meeting (April 2026). Ferrari Minesso, Mehl, Triay Bagur and Vansteenkiste (2025), CEPR DP 20105. Bank Negara Malaysia. Malaysian Parliament written reply on Project Nexus (September 2025). BIS, Global Liquidity Indicators (July 2025). World Gold Council, Gold Demand Trends Full Year 2025. IMF, Understanding Stablecoins, Departmental Paper 25/09 (December 2025).

This note was prepared as a writing sample. The views expressed are the author's own.